

ECON 2:

Principles of Macroeconomics

Lecture 9: Short-Run Macroeconomics



Define Spending in the Economy



Break down spending in the economy based on categories of spenders

Household consumption = Consumption = C

What determines how much a household spends?

1. Income/Disposable Income

2. Wealth

Define Spending in the Economy

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What determines how much a household spends?

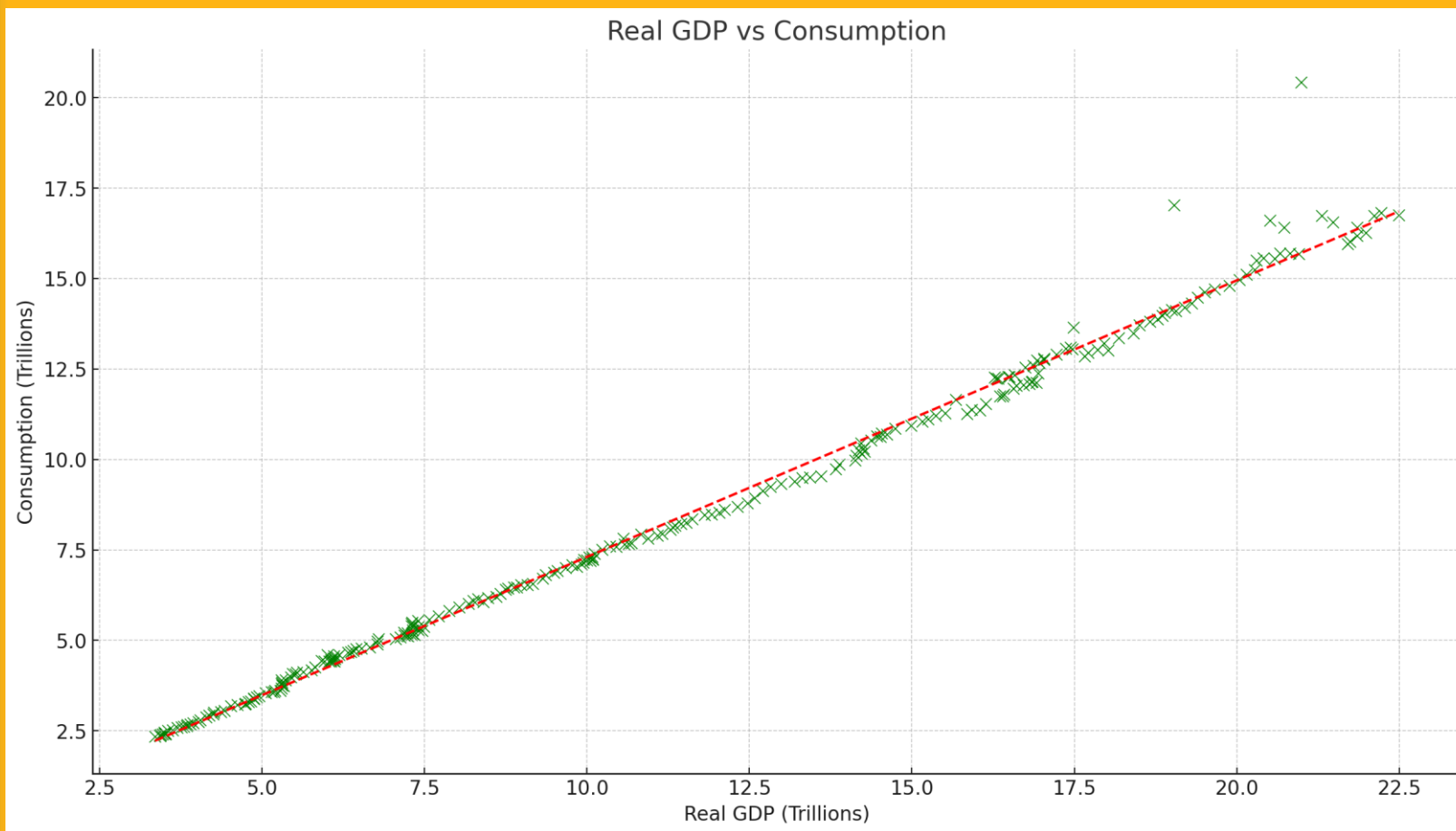
3. Interest Rate

4. Expectations

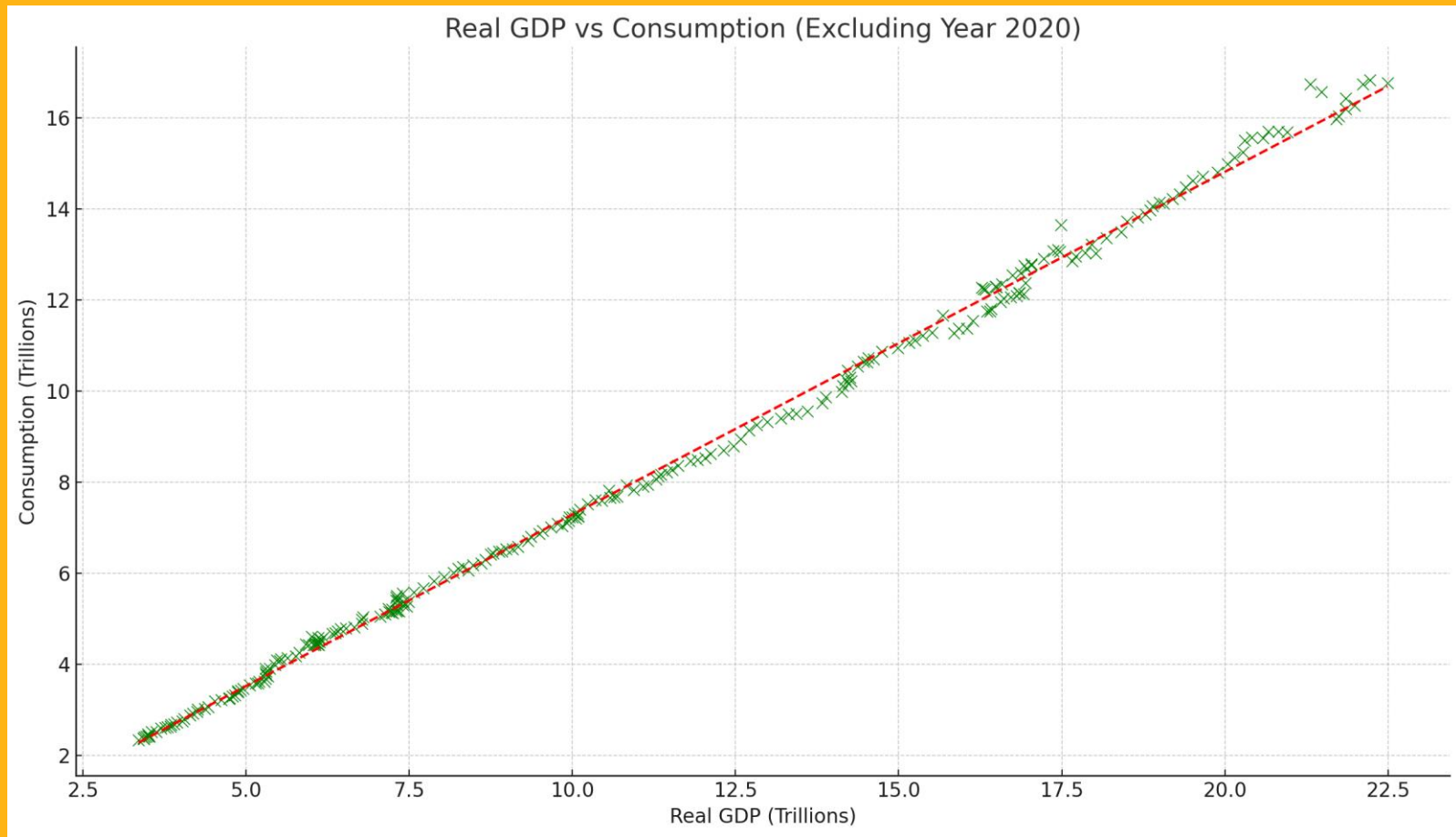
5. Preferences



How Important is Income (Y)?



How Important is Income (Y)?



Disposable Income and Consumption

- The Relationship between Disposable Income and Consumption:

		Real Disposable Income	Consumption
		0	2000
		2000	3200
		4000	4400
		6000	5600
		8000	6800
		10000	8000

Disposable Income and Consumption



Autonomous Consumption (AC):

Marginal Propensity to Consume (MPC):

Consumption Function

- Consumption Function

		Real Disposable Income	Consumption
		0	2000
		2000	3200
		4000	4400
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Consumption Function

- Disposable Income vs. Consumption



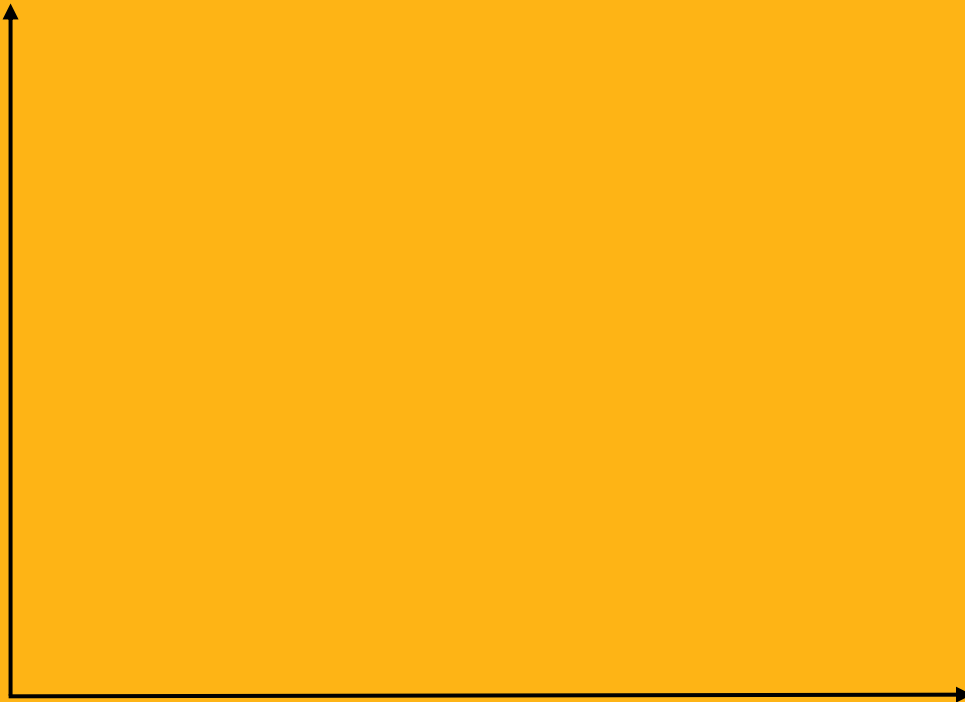
Consumption Function

- Consumption Function:

Income (Y)	Taxes (T)	Real Disposable Income	Consumption
2000	2000	0	2000
4000	2000	2000	3200
6000	2000	4000	4400
8000	2000	6000	5600
10000	2000	8000	6800
12000	2000	10000	8000

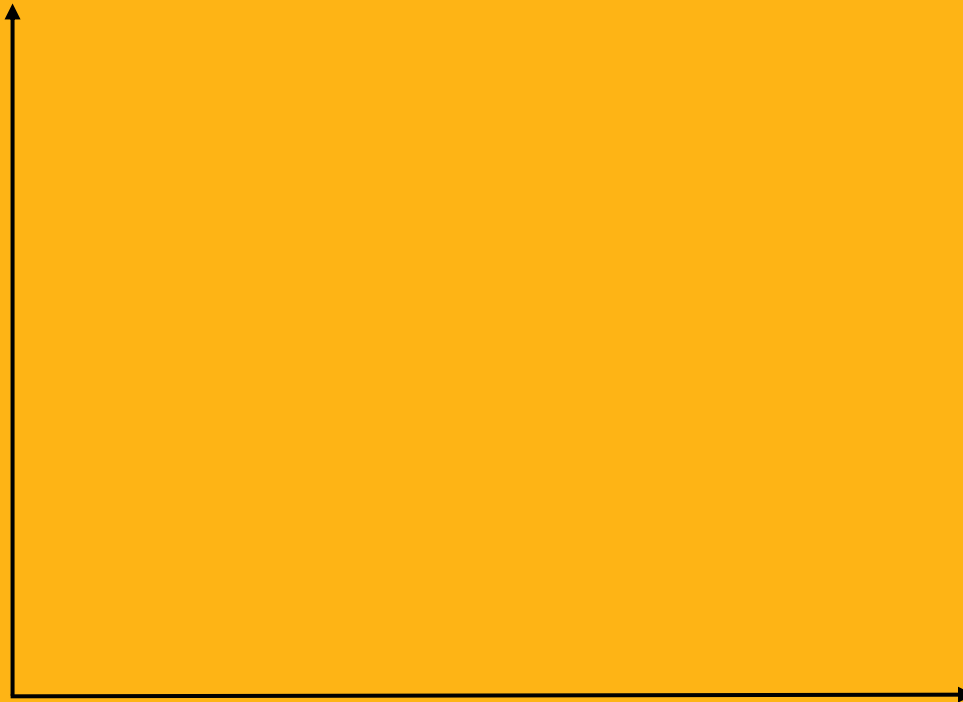
Consumption Function

- Income vs. Consumption, holding taxes constant



Consumption Function

- What changes the consumption function?



Additional Types of Spending

Spending by businesses

Planned Investment Spending (I^P)

Two Major Categories:

1.

2.

What is “unplanned investment”?





Determinants of Planned Investment Spending (I^P):

- 1.
- 2.
- 3.

Assumption: Output today (Y) doesn't directly affect I^P

As Y changes, I^P is constant!



Spending by the Government = Government Expenditures (G)

What is included?

- Military
- Fire and Police
- Public Education
- Parks and Rec
- Highway infrastructure

Industries that produce necessary goods/service, but have trouble making a profit

Does not include *Transfer Payments* such as:

- Social Security/Welfare
- Financial Aid
- Subsidies

Assumption: Output today (Y) doesn't directly affect G

As Y changes, G is constant!



Additional Types of Spending

Spending by the Foreigners

Net Exports (NX) = Exports (X) – Imports (M)

Assumption:

Output (Y) in the short-run does not directly affect Net Exports (NX)





Aggregate Expenditures

Total Spending in the Economy = Aggregate Expenditures = AE

$AE = \text{Consumption} + \text{Planned Investment} + \text{Gov't Expenditures} + \text{Net Exports}$

$AE = C + I^P + G + NX$ (Note: $I^P = I$ when change in inventories = 0)

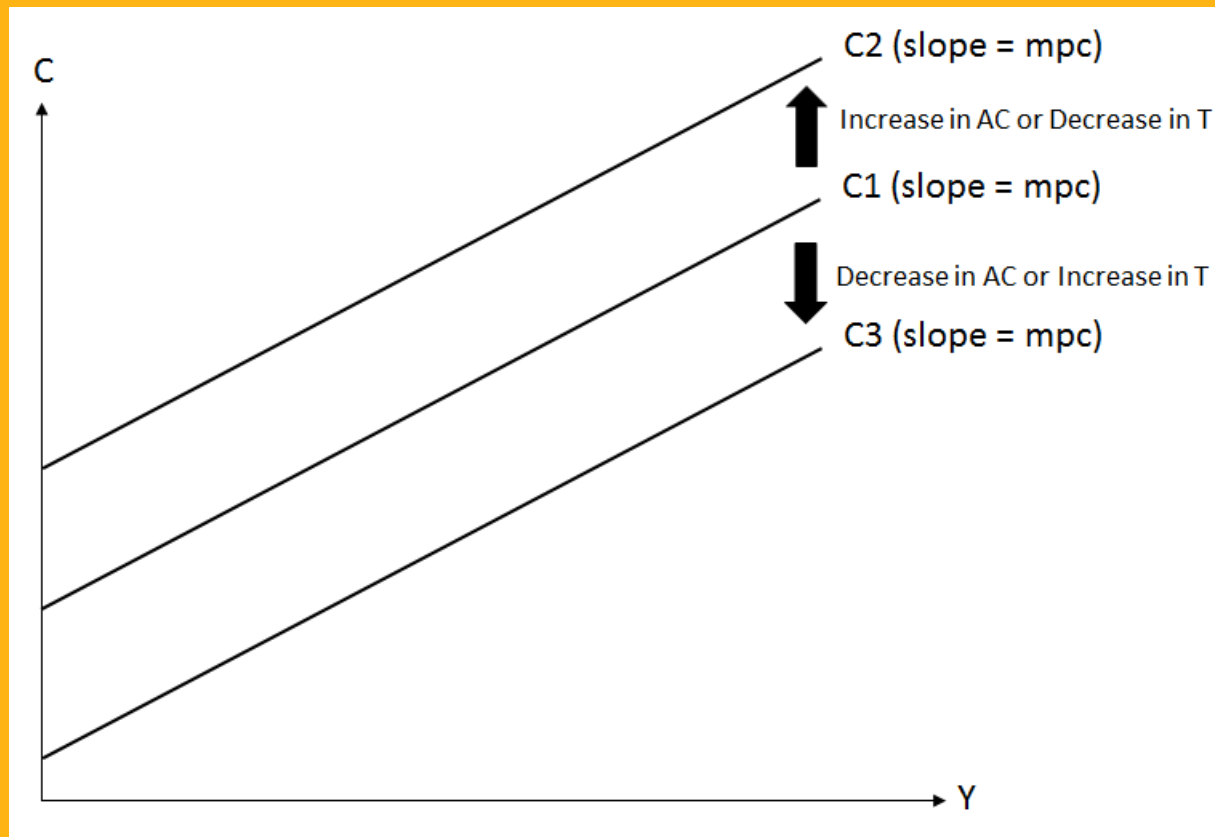
Show how spending (AE) changes when Y changes and find where $Y = AE$

$AE = AC + mpc(Y - T) + I^P + G + NX$

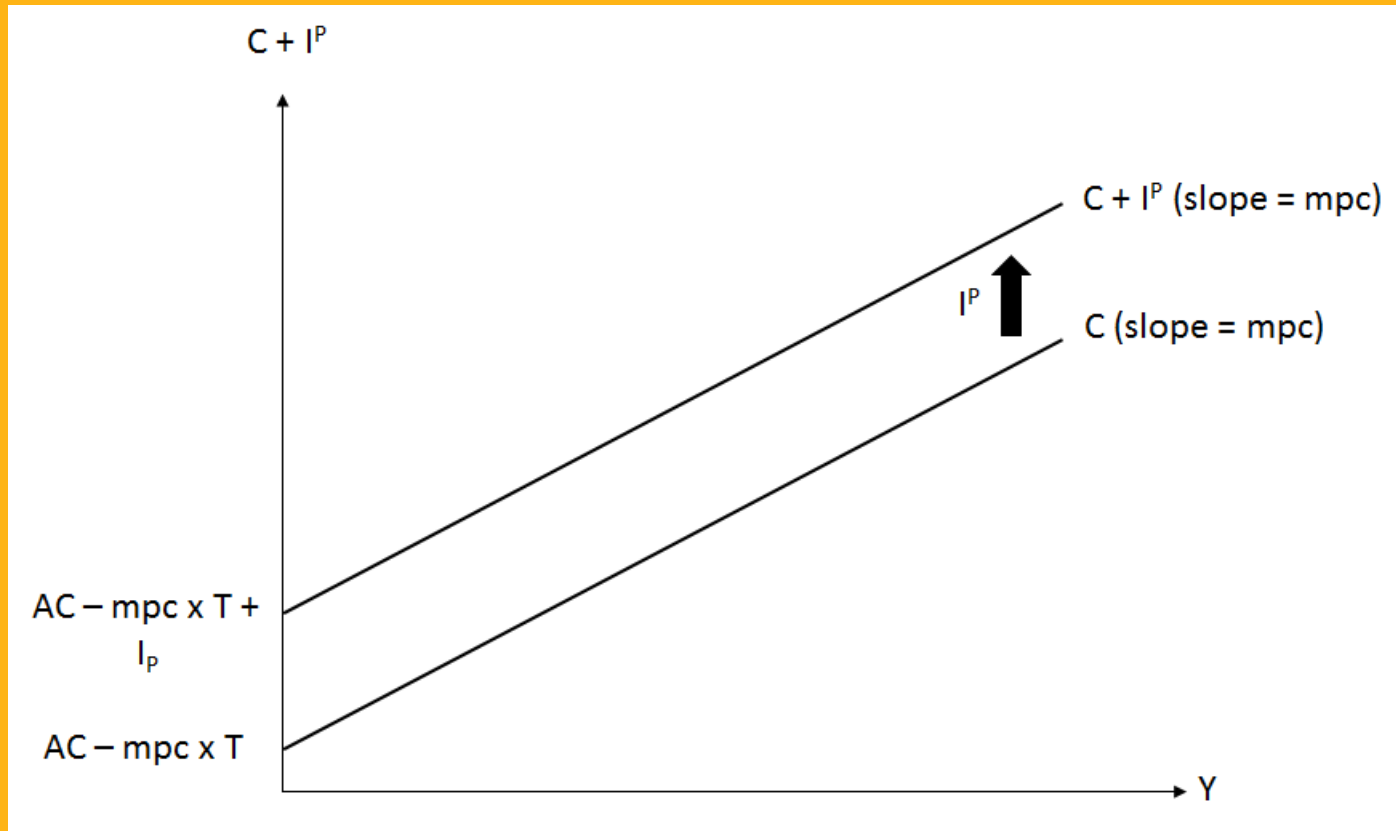


Building the Aggregate Expenditure Curve

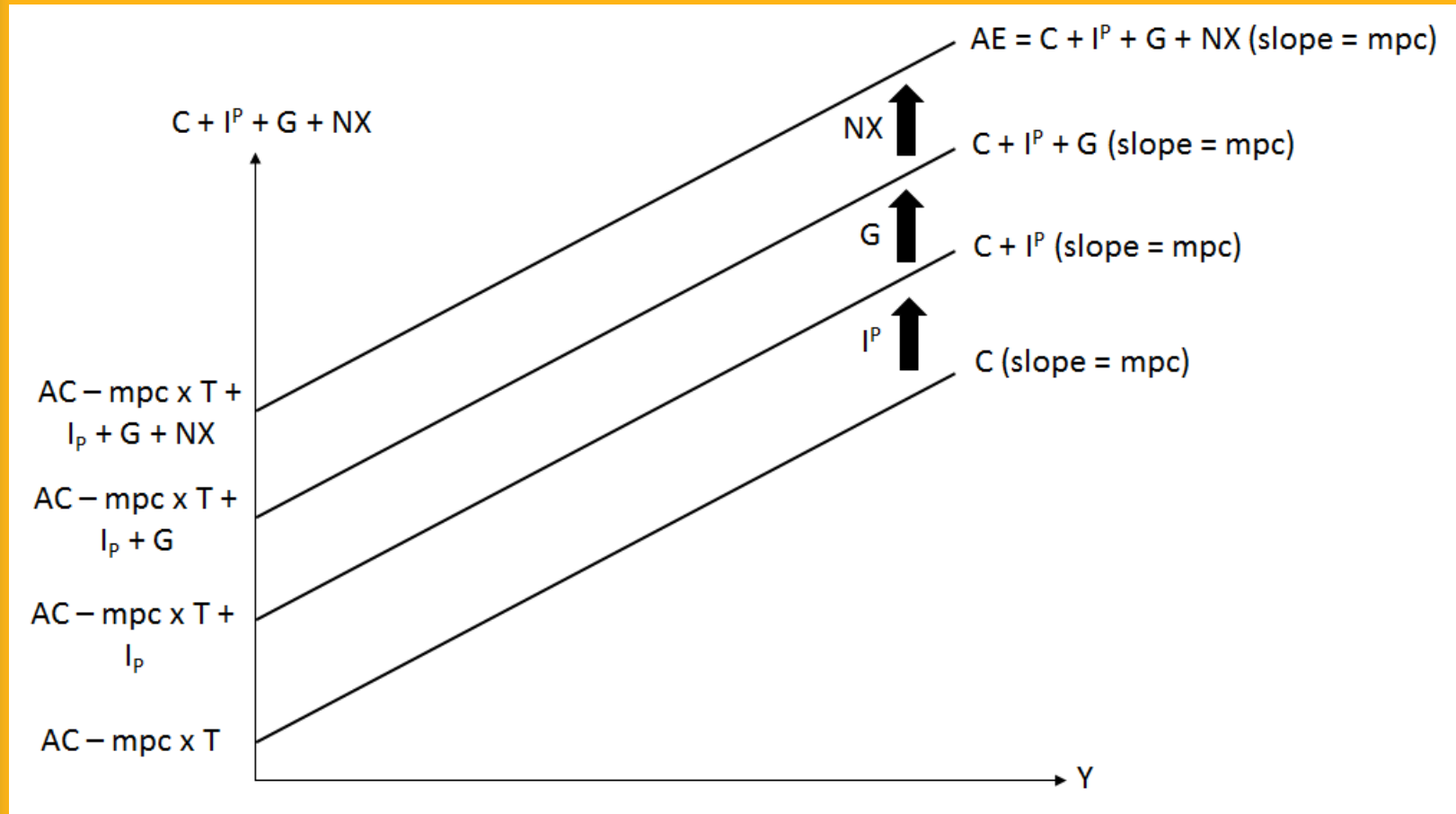
Start with Consumption



Building the Aggregate Expenditure Curve



Building the Aggregate Expenditure Curve



Where is equilibrium?



- Scenario 1: $Y = 12000$, but $AE = 11000$
 - Unsold production?
- Scenario 2: $Y = 8000$, but $AE = 9000$
 - Meeting consumer demands without production?
- Scenario 3: ?



Graphing Equilibrium

